



WARRIOR RACE INVESTMENTS

A PATHWAY TO A STRONGER TOMORROW.

AN ACCREDITED INVESTOR'S GUIDE

Understanding Non-Operated Oil & Gas Joint Ventures

How direct working-interest ownership works, what the tax code allows, how it compares to royalties, funds and public energy equities, and the questions every investor should ask before signing a joint venture agreement.

01 / START HERE

Who this guide is written for

This guide is written for accredited investors who are new to direct oil and gas ownership. It is intentionally plain-spoken. By the end you should understand what a non-operated working interest actually is, where the returns come from, how the tax treatment differs from almost every other asset class, what can go wrong, and how to evaluate a sponsor before you wire a dollar.

Nothing here is a recommendation, a projection, or a promise of results. It is background knowledge so that when you review a specific offering, you can read it critically rather than take anyone's word for it.

Why the accredited standard exists

Private energy joint ventures are typically offered under exemptions from SEC registration, which limits participation to accredited investors. Under Rule 501(a) of Regulation D, an individual generally qualifies by meeting any one of the following:¹

QUALIFYING PATH	THRESHOLD
Net worth	Over \$1 million, individually or jointly with a spouse or spousal equivalent, excluding the value of your primary residence
Individual income	Over \$200,000 in each of the two most recent years, with a reasonable expectation of the same in the current year
Joint income	Over \$300,000 with a spouse or spousal equivalent in each of the two most recent years, with the same current-year expectation
Professional credential	Holding a Series 7, Series 65, or Series 82 license in good standing
Entities	Entities owning investments in excess of \$5 million, or entities in which all equity owners are themselves accredited

Accreditation is a threshold, not a shortcut. It does not mean an offering is safe, vetted, or suitable for you. It simply means the regulator presumes you have the resources and access to advice needed to evaluate risk on your own — which is exactly what the rest of this guide is meant to help you do.

How to read the rest of this guide

Sections 02 and 03 cover mechanics and economics — the plumbing. Section 04 covers the tax code, which is where non-op ownership genuinely has no close substitute. Section 05 compares it to the alternatives. Sections 06 and 07 are the honest part: the risks, and the diligence checklist we would want you to run on us.

1. U.S. Securities and Exchange Commission, Accredited Investors — <https://www.sec.gov/resources-small-businesses/capital-raising-building-blocks/accredited-investors>

02 / MECHANICS

What a non-operated working interest is

A working interest is direct ownership in an oil and gas lease and the wells drilled on it. Own one and you are a cost-bearing owner of the asset itself: you share in revenue and you share in expenses, in proportion to your interest.¹

The word non-operated describes who runs the wells, not who owns them. One party — the operator — is contractually designated to drill, complete, and produce the wells and to make day-to-day field decisions. Non-operated owners hold the same class of economic interest but delegate operations to that operator.¹ You own the barrels. Someone whose full-time business is drilling wells produces them.

The three roles in a joint venture

ROLE	WHAT THEY DO	WHAT THEY BEAR
Operator	Permits, drills, completes and produces the wells; markets the oil and gas; handles regulatory filings and field labor	Operational control, field liability, and an overhead fee charged to the well
Sponsor / manager	Sources and underwrites the acquisition, negotiates with the operator, administers the venture and distributes revenue	Deal risk, structuring, and its own promoted interest in the venture
Non-op owner (you)	Funds a defined share of drilling and completion cost; reviews AFEs; receives revenue and cost statements; consents or elects on certain proposed operations	Your proportionate share of all costs and all revenue, plus the underlying geologic and commodity price risk

Two documents that govern everything

- **The joint operating agreement (JOA)** is the constitution of the well — the operator's authority, cost sharing, voting on proposed operations, and what happens if an owner fails to pay. Read the non-consent and default provisions specifically.
- **The authorization for expenditure (AFE)** is the itemized cost estimate for a well before it is drilled — drilling, casing, completion, facilities. Your capital call should trace directly to a line-item AFE, not to a round number.

Ongoing costs arrive through joint interest billing, the monthly statement in which the operator allocates lease operating expense, workovers, and other well costs to each owner by interest.¹ Revenue arrives separately. Both sides of that ledger flow to you.

Working interest is not the same as your revenue share

A 5% working interest does not mean 5% of gross revenue. Royalties are paid off the top; what remains is the net revenue interest, and that is the number your economics run on. If lease burdens total 25%, a 5% working interest yields a 3.75% net revenue interest — while you still pay 5% of costs. Ask for both numbers.

1. Mercer Capital, Non-Operating Working Interests in Oil & Gas —

<https://mercercapital.com/insights/blogs/energy-valuation-insights-blog/2024/non-operating-working-interests-in-oil-gas-part-i/>

03 / ECONOMICS

Where the money actually comes from

A non-op position is a cash-flow asset with a front-loaded cost profile and a front-loaded revenue profile. Understanding the shape of that curve is what separates an informed investor from a disappointed one.

The revenue waterfall on every barrel sold

#	DEDUCTION	NOTE
1	Royalty and overriding royalty owners	Paid off gross revenue before any working-interest owner sees a dollar
2	Severance and ad valorem taxes	State production taxes; rates vary by state and by oil versus gas
3	Gathering, transportation, processing	The gap between the benchmark price and your realized price per barrel
4	Lease operating expense and overhead	Recurring monthly field cost, billed to you through joint interest billing
5	Net cash flow to working-interest owners	Distributed to you, typically monthly or quarterly under the venture agreement

The production curve is steep, and that is by design

Modern horizontal wells produce most aggressively early. Analyses of Permian horizontal wells put aggregate first-year decline in the range of roughly 40% to 45% by basin, and an individual new Midland Basin well can peak near 730 barrels per day in its first full month and fall more than 70% by the end of its first year.^{1,2}

That is not a defect. It means capital is returned earlier than in most private assets, and it also means a single well's income declines materially year over year — which is why well count, staged drilling and blending new drills with existing producers matter more than any one well's initial rate.

The market backdrop as of this edition

13.6 MMb/d U.S. crude production, 2025 record	6.6 MMb/d Permian output, about half the U.S. total	~\$86/bbl WTI spot, late August 2026
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EIA forecast U.S. crude production to hold near its 2025 record of 13.6 million barrels per day through 2026 before easing about 2% in 2027, with the Permian steady near 6.6 million barrels per day.³ Price is the variable that moves fastest: EIA's January 2026 outlook assumed WTI averaging \$52 per barrel in 2026,³ while WTI actually traded near \$86 per barrel in late August 2026.⁴ Treat every price assumption in every offering — including ours — as an assumption, and ask to see the economics at a materially lower price.

1. Opportune LLP, Permian first-year decline estimates — https://opportune.com/assets/filesystems/newsletters/RED-Newsletter-2-4-2025_Vol-5.pdf

2. American Petroleum Institute, shale decline curve analysis — <https://www.api.org/energy-insights/charts-analysis/continued-investment-is-needed>

3. U.S. Energy Information Administration, Short-Term Energy Outlook — <https://www.eia.gov/todayinenergy/detail.php?id=67045>

4. Trading Economics, WTI crude oil price — <https://tradingeconomics.com/commodity/crude-oil>

04 / TAX TREATMENT

The part with no close substitute

Direct working-interest ownership receives tax treatment that Congress wrote specifically to encourage domestic drilling. This is the single strongest structural argument for owning a working interest rather than a security that owns one. The four provisions below are the ones that matter most.

1. Intangible drilling costs

IDCs are the drilling expenses that leave nothing behind with salvage value — rig time, labor, site preparation, drilling fluids, cementing, fuel, hauling. Under Section 263(c) of the Internal Revenue Code, a working-interest owner may elect to deduct these costs in the year incurred rather than capitalize them.¹ On a typical horizontal well, IDCs represent the large majority of total drilling and completion cost, which is why a first-year deduction of this size has no equivalent in real estate or equities.

2. Tangible drilling costs and bonus depreciation

Equipment with salvage value — casing, wellhead, tanks, pumping units — is a capital asset. The 2025 tax law made 100% bonus depreciation permanent for most qualifying property acquired after January 19, 2025, which allows the tangible portion to be recovered on an accelerated basis as well.²

3. Percentage depletion

Once a well produces, independent producers and royalty owners may deduct percentage depletion equal to 15% of gross income from the property, determined property by property. It is limited to the first 1,000 barrels of oil or 6,000 mcf of gas per day, capped at the net income of the well, and limited to 65% of the taxpayer's net income.³ Practically, it shelters a portion of production income for the life of the well.

4. Working interests are excepted from the passive loss rules

This is the provision most investors have never heard of and the one that changes the math. Section 469(c)(3)(A) states that a passive activity does not include a working interest in oil or gas property that the taxpayer holds directly, or through an entity that does not limit the taxpayer's liability with respect to that interest — and Section 469(c)(4) applies that exception without regard to whether the taxpayer materially participates.⁴ Losses from a qualifying working interest are therefore generally not trapped as passive losses. Note the trade-off written into the statute: the exception depends on not limiting your liability, and once you have claimed a non-passive loss, later net income from that property is also treated as non-passive.⁴

Read this before you rely on any of the above

Every item on this page is fact-specific and depends on how the venture is structured, how your interest is held, your income profile, alternative minimum tax exposure, at-risk and basis limitations, and your state of residence. None of it is tax advice, and no sponsor — including us — should ever present a tax outcome as assured. Take any offering, including its structure documents, to your own CPA or tax counsel before subscribing.

1. 26 U.S. Code Section 263, Capital expenditures — <https://www.law.cornell.edu/uscode/text/26/263>

2. RSM US, The OBBBA restores and expands bonus depreciation — <https://rsmus.com/insights/services/business-tax/obba-tax-bonus-depreciation.html>

3. Energy Tax Facts, Percentage Depletion — <https://energytaxfacts.com/issues/percentage-depletion/>

4. 26 U.S. Code Section 469, Passive activity losses and credits limited — <https://www.law.cornell.edu/uscode/text/26/469>

05 / COMPARISON

Non-op versus the alternatives

Most investors considering a non-op joint venture are also weighing energy royalties, a private energy fund, public E&P shares, or another real-asset allocation such as rental real estate. Each is a legitimate vehicle. They are simply not interchangeable.

VEHICLE	WHAT YOU OWN	TAX PROFILE	MAIN TRADE-OFF
Non-operated working interest	A direct, cost-bearing share of specific leases and wells	Full deduction set: IDC, accelerated tangible cost recovery, percentage depletion, and the Section 469 working-interest exception	You bear operating costs, cost overruns, plugging obligations and unlimited-liability exposure in the structures that preserve the tax treatment
Mineral or royalty interest	A fixed percentage of revenue with no cost obligation	Depletion available, but no IDC deduction and no working-interest loss exception	Cleaner and lower risk, but you give up the deductions and you have no say in whether the acreage is ever developed
Private energy fund	Units in a pooled, manager-directed vehicle	Depends entirely on structure; liability-limiting entities can forfeit the Section 469 working-interest exception	Diversification and administration handled for you, in exchange for layered fees, blind-pool risk and little visibility into specific wells
Public E&P equity	Shares in an operating company	Capital gains and dividend treatment only; no pass-through drilling deductions	Daily liquidity and low minimums, but the price reflects equity-market sentiment, leverage and management decisions as much as barrels
Rental real estate	Real property and its income stream	Depreciation and 1031 exchanges; losses are generally passive absent real-estate professional status	Familiar, financeable and long-lived, but no first-year deduction comparable to IDC and with ongoing management burden

What the non-op structure is genuinely good at

- **Ownership without an operating company.** You get direct asset exposure and the tax treatment that comes with it, while the drilling, permitting and field labor sit with a professional operator whose core business that is.
- **Line-item transparency.** AFEs and joint interest billing statements show you the actual cost of the actual well. Few private vehicles offer that level of visibility.
- **Named, specific assets.** Unlike a blind pool, a well-constructed non-op venture identifies the operator, the acreage, the wells and the cost basis before you commit.
- **Selectivity.** Because participation is well by well and package by package, capital can be spread across multiple wells, formations and vintages rather than concentrated in a single outcome.

06 / RISK

What can go wrong, stated plainly

Any sponsor who leads with returns and buries this section is telling you something. These are the real failure modes in non-operated working-interest investing. You should expect every one of them to be addressed in an offering's risk disclosures, and you should ask about any that are not.

RISK	WHAT IT LOOKS LIKE	WHAT REDUCES IT
Commodity price	Realized prices fall below the assumptions used to underwrite the wells, compressing or eliminating cash flow	Underwriting at conservative prices, stress-testing downside cases, low breakeven acreage, and hedging where available
Geologic and mechanical	A well underperforms its type curve, or a mechanical failure during drilling or completion raises cost and delays first production	Development wells in proven, well-delineated acreage; experienced operators; multiple wells rather than one
Cost overrun and capital calls	Actual cost exceeds the AFE and owners are billed for the excess	Contingency built into the budget, historical AFE-versus-actual data from the operator, and clear overrun provisions in the agreement
Operator dependence	The operator underperforms, mismanages cost, delays completion, or encounters financial distress	Diligence on the operator's track record, well count, and balance sheet; contractual reporting and audit rights
Illiquidity	There is no public market for your interest and no reliable exit on your timetable	Only committing capital you can leave invested for the life of the wells
Liability exposure	The structures that preserve the Section 469 working-interest exception are, by definition, those that do not limit your liability	Understanding the trade-off explicitly, adequate insurance at the operator level, and guidance from your own counsel
Plugging and abandonment	End-of-life wells carry decommissioning and restoration cost allocated to owners	Reviewing bonding and abandonment provisions before subscribing
Timing and decline	First production is delayed, and once online, output declines steeply from its peak	Staged drilling schedules and blending new drills with existing producing wells

The honest summary: a non-op working interest can lose money, including all of the capital committed to a given well. Deductions reduce the after-tax cost of a loss; they do not convert a bad well into a good investment. Size any allocation to this asset class accordingly.

07 / DILIGENCE

The questions to ask every sponsor

Use this as a working checklist. A credible sponsor will answer all of it in writing without hesitation, and will provide documentation rather than assurances.

On the operator

- Who is the operator of record, and what is their history in this basin and formation?
- How do their historical AFEs compare to actual costs, and can you see examples?
- What overhead rate do they charge the well, and how are workovers and recompletions approved?

On the asset

- Which specific leases and wells are included, and what is the acquisition cost per well?
- Are any wells already producing, and if so, what are their current rates and decline history?
- What type curve and EUR are you underwriting to, and what analog wells support it?
- What are the lease burdens, and what net revenue interest do I receive for my working interest?

On the structure and the sponsor

- How is my interest held, and does that preserve Section 469 working-interest treatment?
- What is the total fee load — promote, management, acquisition, operator overhead — and where does my capital rank against the sponsor's?
- What capital is the sponsor investing alongside me, on the same terms?
- Are there provisions for additional capital calls, and what happens if I decline one?
- Who prepares my Schedule K-1, and by what date should I expect it each year?
- How frequently are distributions made, and what reporting comes with them?

On the numbers you are shown

- What commodity price is assumed, and what do the economics look like at a price 30% lower?
- Are the figures shown gross or net of taxes, transportation and operating expense?
- Are prior offerings from this sponsor performing as underwritten, and can you see the actual results rather than the original projections?

A note on how offerings reach you

Many private energy offerings are made under Rule 506(c) of Regulation D, which permits general solicitation but requires the issuer to take reasonable steps to verify that every purchaser is in fact accredited. Expect a real verification process. A sponsor who advertises publicly and then accepts money on a self-certification checkbox alone is telling you how they treat compliance generally.¹

1. SEC, Assessing Accredited Investors under Regulation D —

<https://www.sec.gov/resources-small-businesses/capital-raising-building-blocks/assessing-accredited-investors-under-regulation-d>

08 / REFERENCE

Terms you will see in the documents

TERM	DEFINITION
AFE	Authorization for expenditure. The itemized pre-drill cost estimate for a well, and the basis for your capital call.
Basin / formation	The geologic region and the specific rock interval targeted. In the Permian, common targets include the Wolfcamp, Spraberry and Bone Spring.
Decline curve	The modeled rate at which a well's production falls over time. Shale wells decline steeply in year one, then flatten.
EUR	Estimated ultimate recovery. Total volume a well is expected to produce over its life.
IDC / TDC	Intangible and tangible drilling costs. IDCs have no salvage value and are generally deductible when incurred; TDCs are equipment subject to cost recovery.
JIB	Joint interest billing. The operator's monthly statement allocating well costs to each owner by interest.
JOA	Joint operating agreement. The contract governing the operator's authority, cost sharing, voting and default remedies.
Lease operating expense	Recurring cost of keeping a producing well online — labor, chemicals, water handling, power, maintenance.
Net revenue interest	Your share of revenue after royalties and other lease burdens. Always lower than your working interest.
Non-consent	Electing not to fund a proposed operation, and the penalty the JOA imposes for that election.
PDP	Proved developed producing. Reserves attached to wells already online and generating revenue.
Payout	The point at which cumulative net cash flow returns the capital invested in a well or package.
Percentage depletion	A deduction of 15% of gross income from a producing property, subject to volume, net-income and 65% limitations.
Plugging and abandonment	The regulated cost of permanently sealing a well and restoring the site at end of life.
Rule 506(c)	The Regulation D exemption permitting general solicitation, conditioned on verified accredited status of every purchaser.
Severance tax	State tax on produced hydrocarbons, deducted before net cash flow reaches owners.
Working interest	Direct, cost-bearing ownership in a lease and its wells, carrying a proportionate share of both revenue and expense.
Workover	Remedial work on an existing well to restore or improve production, billed to owners through JIB.

09 / NEXT STEPS

Putting this to work

Warrior Race Investments is a Dallas-based management company focused on direct energy investments through non-operated working-interest ventures in the Permian Basin. We structure ventures around named operators and identified acreage, and we would rather an investor arrive with the questions in section 07 than without them.

A reasonable sequence for a first-time non-op investor

STEP	WHAT TO DO
1. Confirm eligibility	Verify which accredited path you qualify under, and gather the documentation a Rule 506(c) issuer will need to verify it.
2. Assemble your advisors	Engage a CPA who has handled oil and gas K-1s, IDC elections and depletion before. This is specialist territory.
3. Set the allocation first	Decide what portion of your portfolio belongs in illiquid, direct energy exposure before you look at any specific well. Commit only capital you can leave invested.
4. Review a real offering	Read the venture agreement, JOA, AFEs and risk disclosures in full — not just the summary deck.
5. Run the checklist	Work through section 07 in writing with the sponsor, and compare their answers against a second sponsor's.
6. Stress the downside	Ask to see the economics at a materially lower commodity price and at a lower type curve, then decide.

Request the current materials

To review our current Permian non-operated venture materials, including operator background, acreage detail and full risk disclosures, contact Warrior Race Investments at dalton@warriorraceinvestments.com. Materials are provided to verified accredited investors only.

IMPORTANT DISCLOSURES

This guide is educational material prepared for general informational purposes. It is not an offer to sell or a solicitation of an offer to buy any security, and it is not investment, legal, accounting or tax advice. Any offer of securities would be made only through definitive offering documents, delivered to verified accredited investors, and those documents would control in all respects. Oil and gas investments are speculative and illiquid, involve substantial risk including the risk of loss of the entire amount invested, and are suitable only for investors who can bear that risk. Working-interest ownership involves cost obligations and potential liability, including in structures that do not limit an owner's liability. Statements regarding tax treatment reflect general provisions of the Internal Revenue Code as of the date of this guide, are subject to change, and depend entirely on individual circumstances and on how an interest is held; consult your own tax advisor. Production, price and industry figures are drawn from the cited third-party and government sources and are not verified by Warrior Race Investments. Past performance and third-party industry data do not indicate future results, and no representation is made that any investment will achieve any particular outcome. Warrior Race Investments is a management company; any investment vehicle it manages is a separate entity and should not be treated as the same entity.